

SOFTWARE LICENSE AND SUBSCRIPTION AGREEMENT

This Software License and Subscription Agreement ("Agreement") is entered into as of July 1, 2026, between Nimbus Systems Inc. ("Licensor") and Redwood Manufacturing Co. ("Licensee").

1. GRANT OF LICENSE

Licensor grants Licensee a non-exclusive, non-transferable license to use the Nimbus Inventory Management software ("Software") solely for Licensee's internal business operations, limited to fifty (50) named users, during the term of this Agreement.

2. SUBSCRIPTION FEES AND AUTO-RENEWAL

Licensee shall pay an annual subscription fee of \$18,000, due in advance. This Agreement automatically renews for successive one-year terms unless Licensee provides written notice of cancellation at least ninety (90) days before the renewal date. Licensor may increase fees upon renewal by up to 10% with thirty (30) days' notice.

3. DATA OWNERSHIP AND EXPORT

All data entered into the Software by Licensee remains the property of Licensee. However, Licensor may retain de-identified usage data indefinitely for product improvement purposes. Upon termination, Licensee shall have thirty (30) days to export its data, after which Licensor may permanently delete it.

4. LIMITATION OF LIABILITY

Licensor's total liability under this Agreement shall not exceed the fees paid by Licensee in the twelve (12) months preceding the claim. Licensor shall not be liable for indirect, incidental, or consequential damages, including loss of business data, revenue, or profits, even where advised of the possibility of such damages.

5. WARRANTY DISCLAIMER

The Software is provided "as is" without warranty of any kind, express or implied, including but not limited to warranties of merchantability, fitness for a particular purpose, or non-infringement. Licensor does not warrant that the Software will be uninterrupted or error-free.

6. SERVICE LEVEL AND SUPPORT

Licensor will use commercially reasonable efforts to maintain 99% uptime, excluding scheduled maintenance windows. No service credits or refunds shall be owed for downtime below this threshold unless Licensee submits a claim within five (5) business days of the outage.

7. TERMINATION

Licensor may suspend or terminate access to the Software immediately, without notice, if Licensor believes in good faith that Licensee has violated the acceptable use policy. Licensee may terminate for Licensor's uncured material breach following thirty (30) days' written notice.

8. AUDIT RIGHTS

Licensor may audit Licensee's use of the Software upon fourteen (14) days' notice, no more than twice per year, to verify compliance with user limits. If usage exceeds licensed limits, Licensee shall pay the applicable fees retroactively plus a 20% administrative surcharge.

9. GOVERNING LAW AND DISPUTE RESOLUTION

This Agreement shall be governed by the laws of the jurisdiction in which Licensor is headquartered. Disputes not resolved informally within thirty (30) days shall be submitted to binding arbitration.

10. ENTIRE AGREEMENT

This Agreement, together with the Order Form and any applicable Service Level Addendum, constitutes the entire agreement between the parties.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

Nimbus Systems Inc.

Redwood Manufacturing Co.

By: _____

By: _____

Name: Licensing Manager

Name: IT Director